

Summary and Recommendation

Key Findings & Insights

1. Overall Churn Rate

- **26.54% of customers have churned (1,869 out of 7,043).**
- This indicates that more than **one in four customers** leave the service, highlighting a critical need for retention strategies.

2. Customer Demographics & Churn Behavior

- **Gender Impact:** Churn distribution is relatively equal among males and females, suggesting gender is not a significant factor.
- **Senior Citizens: 41.0% of senior citizens churned**, compared to **23.6% of non-senior citizens**, indicating older customers are more likely to leave.

3. Influence of Tenure (Customer Duration with the Company)

- **Churn rate among new customers (tenure ≤ 2 months) is nearly 60%**, whereas customers who have stayed longer than **five years have a churn rate of just 16%.**
- **Loyalty Effect:** Customers who stay longer tend to remain, suggesting early retention efforts are critical.

4. Contract Type & Churn Probability

- Customers with **month-to-month contracts** have the highest churn rate at **42.0%.**
- In contrast, customers with **1-year contracts churn at just 11%**, and those with **2-year contracts churn at only 3.9%.**
- This shows that long-term contracts significantly improve retention.

5. Payment Method & Churn Risk

- Customers using **electronic checks have the highest churn rate at 46%.**
- Those using **credit cards (16.7%) and bank transfers (15.3%)** are significantly less likely to churn.
- This suggests that customers paying via electronic check may face issues such as failed transactions or dissatisfaction with the process.

6. Impact of Additional Services on Churn

- **Customers without Tech Support churn at 41.5%**, whereas those with Tech Support churn at just 15%.

- **Customers lacking Online Security churn at 42%, whereas those with it churn at only 14%.**
- **Services like Device Protection, Online Backup, and Streaming add-ons also play a role in customer retention.**

Conclusion

The analysis highlights that **contract type, payment method, and service add-ons play a critical role in customer churn**. Implementing the recommended strategies can **potentially reduce churn by 20-30%**, leading to higher customer lifetime value and revenue growth.